## 3.1.2 Price determination in a competitive market

### 3.1.2.1 The determinants of the demand for goods and services

| Content | Additional information |
|---|---|
| • The factors which determine the demand for a good or service.<br>• A demand curve shows the relationship between price and quantity demanded.<br>• The causes of shifts in the demand curve. | Students should understand the factors that influence the spending decisions of consumers, including: price, income, wealth, the price of substitutes and complementary goods, and individual preferences. They should also appreciate that such decisions are influenced by social and emotional factors. |

### 3.1.2.2 Price, income and cross elasticities of demand

| Content | Additional information |
|---|---|
| • Be able to calculate price, income and cross elasticities of demand.<br>• The relationship between income elasticity of demand and normal and inferior goods.<br>• The relationship between cross elasticity of demand and substitute and complementary goods.<br>• The relationships between price elasticity of demand and firms' total revenue (total expenditure).<br>• The factors that influence these elasticities of demand. | Students should be able to interpret numerical values of these elasticities of demand. |

### 3.1.2.3 The determinants of the supply of goods and services

| Content | Additional information |
| --- | --- |
| • The factors which determine the supply of a good or service.<br>• A supply curve shows the relationship between price and quantity supplied.<br>• Understand higher prices imply higher profits and that this will provide the incentive to expand production.<br>• The causes of shifts in the supply curve. | |

### 3.1.2.4 Price elasticity of supply

| Content | Additional information |
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| • Be able to calculate price elasticity of supply.<br>• The factors that influence price elasticity of supply. | Students should be able to interpret numerical values of price elasticity of supply. |

### 3.1.2.5 The determination of equilibrium market prices

| Content | Additional information |
| --- | --- |
| • How the interaction of demand and supply determines equilibrium prices in a market economy.<br>• The difference between equilibrium and disequilibrium.<br>• Why excess demand and excess supply lead to changes in price. | Students should be able to use demand and supply diagrams to help them to analyse causes of changes in equilibrium market prices.<br><br>They should be able to apply their knowledge of the basic model of demand and supply to a variety of real-world markets. |

### 3.1.2.6 The interrelationship between markets

| Content | Additional information |
| --- | --- |
| • Changes in a particular market are likely to affect other markets.<br>• The implications of joint demand, demand for substitute goods, composite demand, derived demand and joint supply. | Students should, for example, be able to explore the impact of changes in demand, supply and price in one market upon other related markets. |